

PDD HOLDINGS INC.

(NASDAQ (ADS): PDD)

A Cash-Gushing Domestic Franchise and a Free Option on Global Commerce

BUY — \$108.00 Target

Equity Research Note · Consumer Discretionary — E-commerce (China & Cross-Border) · October 4, 2026

Recommendation	12-Mo. Price Target	Current Price	Implied Upside	Risk Rating
BUY	\$108.00	\$75.38	+43.3%	High

Current price as of October 2, 2026 close.

Snapshot

Market cap	~\$107.3 bn (~1.42 bn ADS × \$75.38)	TTM free cash flow	~\$16.5 bn (~15% FCF yield on market cap)
Price (Oct 2, 2026)	\$75.38	Platforms	Pinduoduo (China value retail) · Temu (international marketplace)
52-week range	~\$71.94 – \$139.41	Country-risk premium	250bp charged on every scenario; VIE modeled in the bear case
Net cash	~\$67.4 bn — 63% of market cap; counted once, in EV	Next catalyst	Q3 2026 earnings; Temu local-fulfillment progress; buyback pace
Ex-cash price	~\$27.55 — the operating business at ~2.4× TTM FCF		

1 Investment Thesis

PDD Holdings is two businesses the market insists on valuing as one problem: Pinduoduo, the Chinese discount-retail machine that generates enormous cash flow, and Temu, the global cross-border marketplace navigating the end of the de minimis era. At \$75.38 the market prices both as impaired — Pinduoduo as a victim of domestic competition and regulation, Temu as a business model broken by tariffs. Our judgment is that the first is wrong and the second is misunderstood. Pinduoduo remains one of the most profitable e-commerce businesses in China, and Temu — while genuinely disrupted — is a free option the market values at less than zero.

Start with the domestic business, because it is the foundation of the valuation. Pinduoduo pioneered the team-purchase, value-first model in Chinese e-commerce and retains a massive, engaged user base in a market where discount retail keeps gaining share. Competition from Alibaba and JD.com is real and permanent — this is a three-player market now — but Pinduoduo's cost structure and agricultural-supply-chain roots give it a durable position at the value end. The domestic segment's profitability funds everything else, including the Temu investment cycle, and it does so with room to spare.

Temu is where the analytical work matters. The end of US de minimis treatment — first for China-origin goods, then globally — raised the cost structure of the cross-border direct-ship model that powered Temu's explosive growth, and US user metrics suffered. But Temu has responded the way a well-capitalized operator should: pivoting toward local fulfillment with US-based warehouses and merchants, cutting prices to defend share, and leaning into non-US markets where the regulatory picture is less hostile. Our base case does not require Temu to recover its peak trajectory — it requires the business to stabilize as a large, lower-margin international marketplace. Anything beyond that, including a normalization of US trade treatment over time, is upside.

Then there is the balance sheet, which the market treats as a footnote and we treat as central: PDD holds roughly \$67 billion of net cash — nearly two-thirds of the market cap — against a business throwing off about \$16.5 billion of annual

free cash flow. We count that cash once, in enterprise value, and it still leaves the operating business priced at a multiple inconsistent with its profitability. Our \$108.00 fair value charges a full 250bp China country-risk premium, models the VIE structure explicitly in the bear case, and still finds +43% upside. The bear case at \$30 — well below today's price — is the world where geopolitics or regulation impairs the equity itself; we believe that tail is over-weighted in the current quote. The rating is BUY.

Why the market will care (eventually)

- **The ex-cash math is the whole story.** Strip out the ~\$67 billion of net cash and the operating business — one of the most profitable in global e-commerce — trades at about 2.4× trailing free cash flow. That pricing implies a future the fundamentals do not support.
- **Domestic is a cash cow, and that is good.** The hypergrowth years are over; what remains is a dominant value-retail platform with best-in-class margins and entrenched shopping habits — funding buybacks and the Temu pivot with room to spare.
- **Temu's pivot is the competent response.** Local fulfillment, price defense, and non-US expansion are what a well-capitalized operator does when the rules change. The base case requires stabilization, not triumph — everything beyond is upside.

2 Business Overview — What PDD Holdings Is Doing

(Shanghai, China (principal executive offices, Dublin); CEO Chen Lei)

PDD Holdings Inc., headquartered in Shanghai with its principal executive offices in Dublin, operates two major platforms. Pinduoduo is one of China's largest e-commerce platforms, built on a value-retail model emphasizing agricultural products, team purchasing, and gamified shopping; it serves hundreds of millions of annual active buyers, concentrated in price-sensitive segments where it holds a leading position. Temu is the company's international marketplace, launched in 2022, which scaled with extraordinary speed across North America, Europe, Latin America, and the Middle East on a cross-border direct-ship model connecting Chinese merchants to overseas consumers.

The company's economics are unusual in global e-commerce: it is highly profitable, with operating margins that reflect Pinduoduo's asset-light marketplace model, and it converts a large share of profit into free cash flow — roughly \$16.5 billion trailing. Pinduoduo's agricultural supply-chain roots and team-purchase mechanics give it a structural cost advantage at the value end of Chinese retail; Temu's merchant ecosystem gives it assortment breadth that local-fulfillment competitors cannot quickly match.

The capital structure is the fortress: about \$68.1 billion of cash against \$0.7 billion of debt — roughly \$67.4 billion of net cash, or about \$47.83 per ADS. The company has begun returning capital through buybacks, and the cash balance funds the Temu transition without any need for external financing.

3 Financial Analysis

RMB bn	2022	2023	2024	2025
Total revenue	130.56	247.64	393.84	431.85
YoY growth	—	+89.7%	+59.0%	+9.6%
Operating cash flow	48.51	94.16	121.93	106.94
Free cash flow	47.87	93.58	120.96	105.79
Net cash (\$ bn)	—	—	—	~67.4

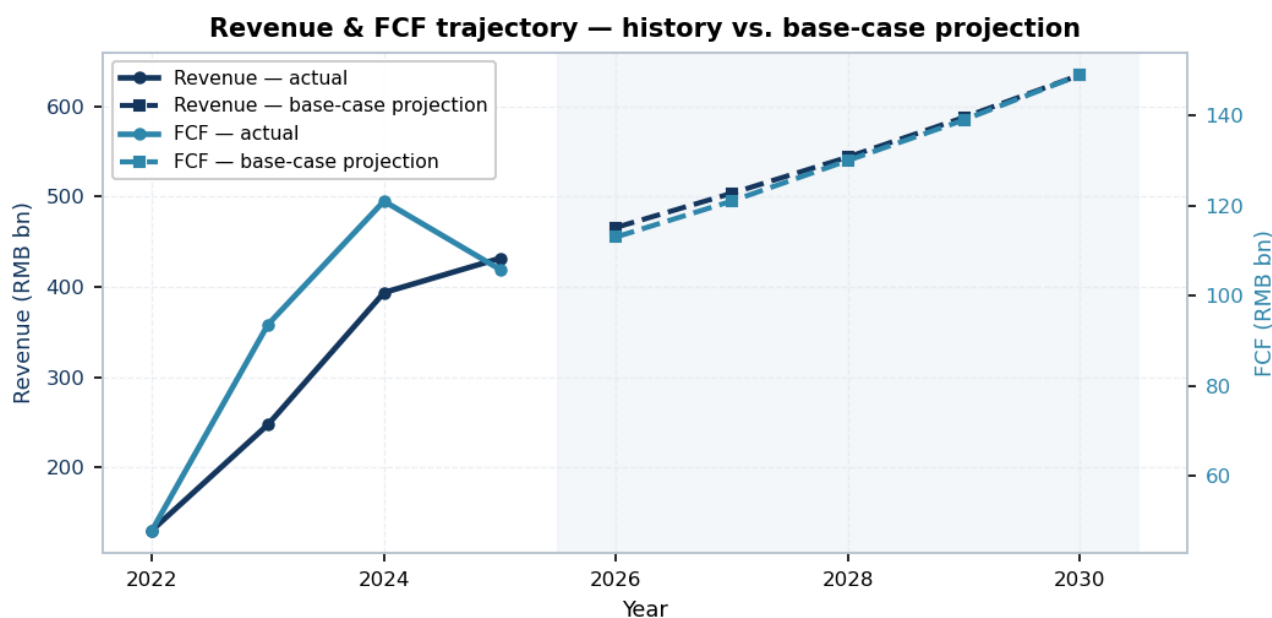
Sources: company filings via Yahoo Finance (annual). Net cash ~\$67.4 bn (\$68.1 bn cash less \$0.72 bn debt) per company disclosure. FCF = operating cash flow less capex.

The numbers describe a cash compounder wearing a China discount. Revenue grew from RMB 130.6 billion in 2022 to RMB 431.8 billion in 2025; free cash flow went from RMB 47.9 billion to RMB 105.8 billion over the same period,

converting at extraordinary rates on the asset-light marketplace model. In dollar terms, trailing free cash flow of about \$16.5 billion against a \$107.3 billion market cap is a 15%+ FCF yield — before counting the \$67.4 billion of net cash.

The ex-cash arithmetic is what the market refuses to do: \$107.3 billion of market cap less \$67.4 billion of net cash leaves an operating enterprise value of \$39.9 billion — about 2.4× trailing free cash flow — for one of the most profitable e-commerce businesses in China plus a free option on Temu. We count the cash once, in enterprise value, and the operating business is still priced at a multiple inconsistent with its profitability. Buybacks funded from the cash balance add a per-share kicker the current price ignores.

Revenue & cash-flow trajectory



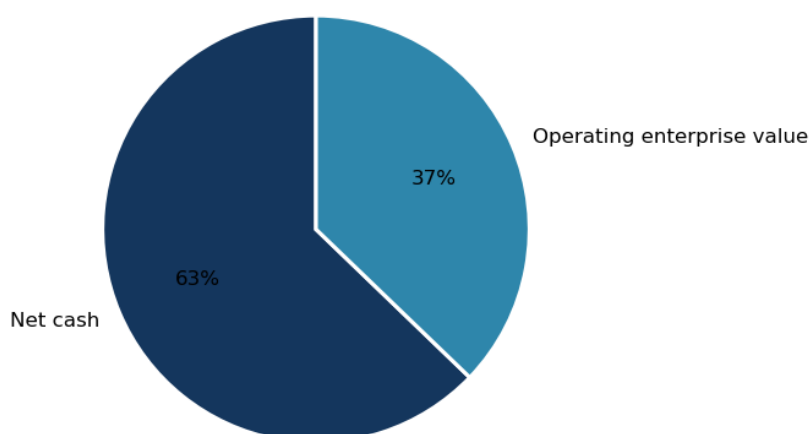
History: company filings via Yahoo Finance (FCF = operating cash flow less capex). Projections: base case — Pinduoduo matures to a cash-cow growth profile; Temu stabilizes on local fulfillment.

4 Moat & Competition

- **Value-retail cost structure.** Team-purchase mechanics and agricultural-supply-chain roots give Pinduoduo a structural cost advantage at the value end of Chinese retail that Alibaba and JD.com compete against but have not replicated.
- **Entrenched user habits.** Hundreds of millions of annual active buyers with gamified, habitual shopping patterns — the discount-retail equivalent of a subscription base.
- **Temu's merchant ecosystem.** Direct access to Chinese manufacturers at unmatched assortment breadth; the local-fulfillment pivot reuses that ecosystem in destination markets.
- **The fortress balance sheet.** \$67 billion of net cash funds the Temu transition, buybacks, and any investment cycle without external capital — strategic freedom competitors cannot match.
- **The moat's weak link: the VIE.** The variable-interest-entity structure means ADR holders own a contractual claim, not the operating assets — an unhedgeable geopolitical tail no operating moat offsets, which is why the bear case is \$30.

Market cap composition — the cash the market ignores (\$bn)

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5 Valuation — 10-year scenario DCF on enterprise free cash flow (250bp China premium), Fair Value \$108

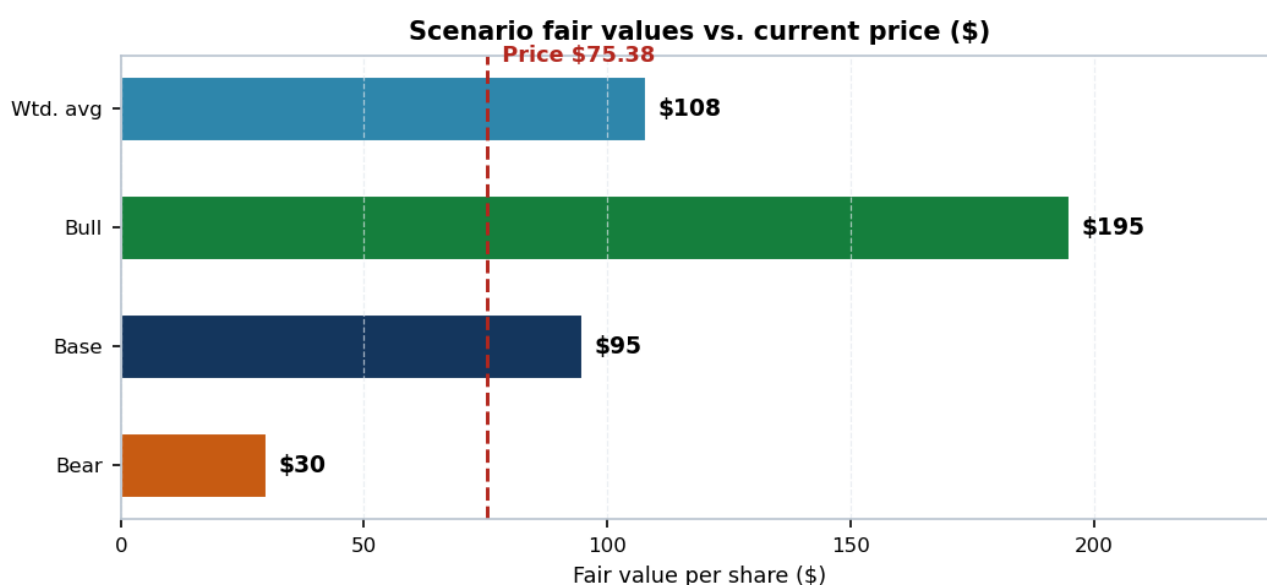
We value PDD on a 10-year probability-weighted scenario DCF — weights bear 25% / base 50% / bull 25% — with a full 250bp China country-risk premium charged on every scenario: bear 14.5% (base + 250bp: VIE/geopolitical impairment of the equity), base 12.0%, bull 10.5% (base – 150bp). The \$67.4 billion net-cash position is counted once, in enterprise value. Terminal growth is capped at 2.5% on normalized mid-cycle margins — we do not project peak e-commerce margins into perpetuity — and we benchmark against regional e-commerce peers facing similar risks, never US peers alone. The terminal value is a minority of enterprise value, consistent with a business whose near-term cash generation and existing cash balance dominate the valuation.

Scenario-implied fair values: bear \$30 (VIE/geopolitical impairment of the equity; Temu US business written to zero; domestic margins compress under competition; cash trapped), base \$95 (Pinduoduo grows modestly with stable margins; Temu stabilizes on local fulfillment ex-US; net cash counted once; buybacks continue), bull \$195 (Temu pivot succeeds and re-accelerates; US trade treatment normalizes; domestic margins expand; market re-rates the cash compounder). The probability-weighted fair value supports our \$108.00 target. The bear case at \$30 sits far below the current \$75.38 price, as the framework requires — it is the genuine disaster scenario in which the VIE structure or geopolitics impairs ADR holders directly.

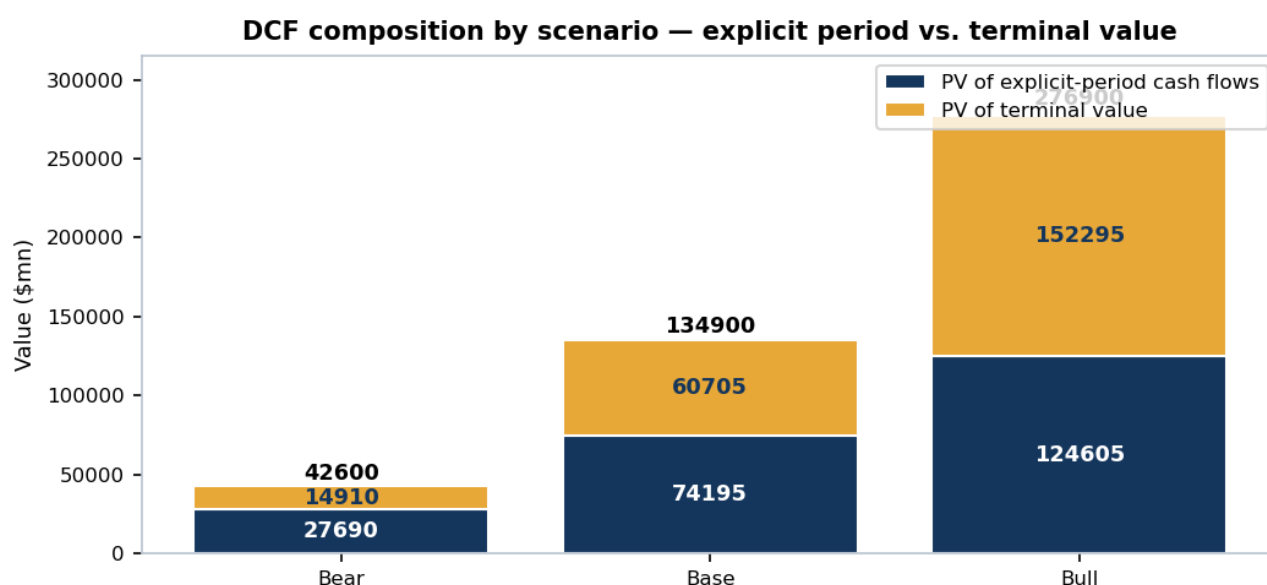
Scenario	Key assumptions	Rev CAGR	End margin	Discount / term. g	TV share	Fair value
Bear	VIE/geopolitical impairment of the equity; Temu US business written to zero; domestic margins compress; cash trapped	+3.0%	38%	14.5% / 1.0%	35%	\$30.00
Base	Pinduoduo grows modestly with stable margins; Temu stabilizes on local fulfillment ex-US; net cash counted once; buybacks continue	+7.0%	42%	12.0% / 2.0%	45%	\$95.00
Bull	Temu pivot succeeds and re-accelerates; US trade treatment normalizes; domestic margins expand; market re-rates the cash compounder	+12.0%	45%	10.5% / 2.5%	55%	\$195.00
Wtd. avg	Probability-weighted (25/50/25) → \$108.00 target					\$108.00

Scenario fair values are per-ADS equity values (~1.42 bn ADS), net cash counted once in EV, 250bp country-risk premium throughout. The \$108.00 target sits inside the probability-weighted range.

Scenario fair values vs. current price (\$)



DCF composition by scenario



Stacked bars show the present value of explicit-period cash flows (dark) versus the present value of the terminal value (gold), in \$mn. A heavy terminal-value share means the call rests on the long run, not the forecast window.

6 Risks & Falsification

Key risks

- **Geopolitical / VIE risk.** US-China tensions could lead to ADR delisting, forced VIE restructuring, or ownership-impairment scenarios — the unhedgeable tail.
- **Trade policy.** US tariffs and the end of de minimis, plus EU small-parcel duties, structurally raise Temu's cost base.
- **Domestic competition.** Alibaba and JD.com compete aggressively in Chinese discount retail, pressuring growth and margins.
- **Temu transition risk.** The pivot to local fulfillment is capital-intensive and may fail to reproduce the unit economics of the direct-ship model.

- **Regulatory risk in China.** E-commerce, data, and platform-economy regulation remains an overhang for the domestic business.
- **Capital allocation.** The large cash balance could be deployed into low-return investments rather than returned to shareholders.

What would change our mind

Downgrade to HOLD on: any credible move against the VIE structure or toward forced ADR delisting — we would exit on evidence this tail is materializing, not after; Pinduoduo annual active buyers declining for two consecutive years, indicating structural share loss domestically; Temu's non-US growth stalling alongside continued US deterioration — the stabilization thesis failing on both tracks; operating margins compressing structurally (not cyclically) for four consecutive quarters; or the net-cash position being deployed into a large, low-return acquisition or diverted in ways that suggest governance concerns. We watch: active buyer trends, Temu's geographic growth split, margin trajectory, and US-China capital-markets headlines.

7 Methodology

Our valuation is a probability-weighted scenario DCF. We model bear, base, and bull cases over an explicit 10-year forecast horizon, weighted 25% / 50% / 25%. Discount rates are scenario-specific: the base rate reflects fundamental business risk (9% for stable franchises, 10% standard, 12% or higher for speculative situations); the bear case adds 250bp, the bull case subtracts 150bp (floored at 8%). Terminal value assumes no more than 2.5% perpetual growth applied to normalized mid-cycle margins — never peak margins — and any terminal value exceeding 70% of enterprise value is haircut and disclosed. Bear cases are required to be genuinely adverse and to sit below the current price. Management guidance is never accepted at face value; it is independently tested and haircut where evidence warrants. For PDD we charge a full 250bp China country-risk premium on every scenario, count the net-cash position exactly once in enterprise value, and model the VIE structure explicitly in the bear case.

This note is independent research-style analysis for informational purposes only and is not investment advice. Financial figures are drawn from company releases and SEC filings; market data as of October 2, 2026. Projections and the price target are the author's estimates and involve uncertainty. Past performance does not predict future results.